



Office of Public Affairs
U.S. Department of Justice



Florida Man Pleads Guilty for Role in an Off-the-Books Payroll Scheme

Monday, August 18, 2025

For Immediate Release

Office of Public Affairs

Scheme Caused \$4M Loss to the United States

A Florida man pleaded guilty today before Magistrate Judge Kyle C. Dudek for the Middle District of Florida to conspiring to defraud the United States by operating an off-the-books payroll scheme. The plea must be accepted by a U.S. district court judge.

The following is according to court documents and statements made in court: Alexis Garcia conspired with others to operate an illegal, off-the-books cash payroll system for construction workers to avoid paying employment taxes to the IRS and to defraud workers' compensation insurance companies. Between 2017 and 2019, Garcia managed and directed the operations of Tape Drywall Services Inc., located in Naples, Florida. Contractors entered into agreements with Tape Drywall to provide workers for various construction contracts and provided checks in the name of Tape Drywall for payment. Garcia and his co-conspirator would cash the checks and retain a small percentage as a fee. Garcia and his co-conspirator provided cash to the foremen who used the cash to pay the workers. In total, Garcia and his co-conspirator cashed over 3,600 checks totaling approximately \$28 million.

Garcia and his co-conspirator did not report the wages to the IRS and did not withhold Social Security, Medicare, and federal income taxes from those wage and pay them over to the IRS, as required by law. As a result, Garcia caused a loss to the United States of more than \$4.2 million.

In addition, Garcia and his co-conspirator defrauded workers' compensation companies by substantially misrepresenting the amount of Tape Drywall's payroll. The misrepresentations resulted in substantially lower insurance payments.

The timely payment of these taxes is critical to the functioning of the U.S. government because, for example, they are the primary source of funding for Social Security and Medicare. The federal income

taxes that are withheld from employees’ wages also account for a significant portion of all federal income taxes collected each year.

Garcia is scheduled to be sentenced at a later date. He faces a maximum penalty of five years in prison, as well as a period of supervised release, restitution, and monetary penalties. A federal district court judge will determine any sentence after considering the U.S. Sentencing Guidelines and other statutory factors.

IRS Criminal Investigation is investigating the case, with assistance from Homeland Security Investigations.

Senior Litigation Counsel Michael C. Boteler of the Justice Department’s Tax Division and Assistant U.S. Attorney Yolande G. Viacava for the Middle District of Florida are prosecuting the case.

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A Honduran national pleaded guilty today to conspiring with others as part of a years-long off-the-books payroll scheme that caused more than \$38 million in losses to the U.S. government.

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